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LEGAL MEMORANDUM

TO	Avalon Bancorp Inc.
FROM	Counsel
RE	Marcus Davenholt's governance rights and the rejected Velridge contract
LAW ASSESSED	Delaware law applicable to the September 2024 events

Scope and assumptions. This primer assumes Marcus acted solely from personal animus and that no relevant civil action or proceeding was completed or pending on or before August 1, 2024. It does not address demand or subsequent changes in law.

Executive assessment

Avalon faces material litigation risk, but contract validity and fiduciary compliance are separate questions. Delaware's August 2024 amendments authorize many stockholder governance agreements, including earlier agreements. They do not override contrary charter provisions or eliminate fiduciary duties. On the better reading of Avalon's express reservation of management "exclusively" to its board, the broad grants to Marcus conflict with the charter and are unenforceable to that extent, although construction of that clause is contestable. Independently, surrendering judgment to accommodate Marcus's personal grievance may breach the directors' duties. Marcus's minority ownership is not dispositive: his appointment rights, comprehensive veto and demonstrated influence strongly support—but do not conclusively establish—controller status.

1. Board authority and the stockholders' agreement

The starting allocation of power

DGCL § 141(a) places management of corporate business and affairs in the board, or under its direction, except as otherwise provided by the DGCL or certificate of incorporation. Avalon's charter and bylaws go further linguistically by reserving management "exclusively" to the board. A private agreement does not itself amend either instrument. Under § 109(b), bylaws must remain consistent with Delaware law and the charter; a bylaw cannot cure a charter conflict. Section 109(a) also preserves stockholders' statutory bylaw powers, so the exclusivity language should not be read to extinguish rights the DGCL itself reserves to stockholders.

Before the 2024 amendment, West Palm Beach Firefighters' Pension Fund v. Moelis & Co., 311 A.3d 809, 816 (Del. Ch. 2024), applied § 141(a) to invalidate sweeping stockholder preapproval rights and certain board-composition mandates in an internal-governance agreement. The inquiry was whether a provision substantially deprived directors of their duty to exercise independent judgment or substantially limited their freedom on management policy. Not every designation or nomination provision failed. Under that framework, a veto over every Avalon transaction is particularly problematic; a direct power to appoint directors and officers likewise substantially displaces board governance.

Senate Bill 313 changes the analysis, including for January agreements

Senate Bill 313, enacted July 17, 2024, added DGCL § 122(18), effective August 1, 2024. Notwithstanding § 141(a), a corporation may contract with current or prospective stockholders, in that capacity, for board-determined minimum consideration. It may restrict its actions, require another person's consent before acting, and covenant that the corporation or specified persons or bodies will take or refrain from actions. Marcus's investment is apparent consideration; authorized execution and the required board determination should be confirmed.

The amendment applies to contracts made before or after its effective date, but does not apply to or affect civil actions or proceedings completed or pending on or before that date. Assuming no such proceeding involving Avalon, the January 2024 agreement is assessed under § 122(18) when Marcus invokes it in September. Treating Moelis alone as dispositive would therefore be incorrect. See S.B. 313, 152d Gen. Assemb. (Del. 2024), §§ 1, 6.

Crucially, § 122(18) makes a provision unenforceable against the corporation to the extent it conflicts with the charter, or would violate Delaware law (subject to the statute's § 115 exception) if placed in the charter. Avalon has a substantial argument that conferring comprehensive transactional control and appointment authority on Marcus contradicts its exclusive-board-management charter clause. Marcus can respond that this is merely a conventional restatement of § 141(a), whose default allocation the amendment expressly overrides. Because "exclusively" is stronger than a routine statutory restatement, Avalon should not assume statutory validation; nevertheless, construction of this general clause is contestable. The identical bylaw reinforces the stated allocation but cannot override statutory authority or substitute for the charter inquiry.

The appointment provision presents an additional issue. A contractual right to nominate candidates or procure lawful elections is not necessarily a self-executing right to install directors. Ordinary director-election and vacancy rules still matter (§§ 141(b), 211, 223); officers are selected as prescribed by the bylaws or board (§ 142(b)). Section 122(18) permits governance covenants, not disregard of mandatory statutory machinery. With no special charter or bylaw appointment mechanism supplied, Marcus's purported direct appointment power is especially vulnerable. The two grants should be analyzed separately; without a severability provision, survival of any valid remainder depends on ordinary contract severability principles, not an assumed contractual savings clause.

Accordingly, the transaction veto is the kind of arrangement § 122(18) generally authorizes, but the express charter reservation likely prevents enforcement here. Neither right is safely treated as unconditionally enforceable on this record. As S.B. 313's synopsis explains, statutory authorization does not eliminate fiduciary duties. Approving the agreement and exercising rights under it remain separate subjects of fiduciary review.

2. Fiduciary implications for Avalon's directors

Directors owe duties of care and loyalty to Avalon and its stockholders. The business-judgment rule ordinarily protects an informed, disinterested, independent decision made in good faith—not a guarantee of optimal results. The care inquiry generally asks whether the process was grossly negligent; loyalty includes good faith and prohibits knowingly subordinating corporate interests to an improper purpose. Intentional dereliction of duty or conscious disregard of responsibilities can constitute bad faith. In re Walt Disney Co. Derivative Litigation, 906 A.2d 27, 67 (Del. 2006).

McMullin v. Beran, 765 A.2d 910, 917–20 (Del. 2000), emphasizes that directors retain their own evaluative responsibilities even when a controlling stockholder drives a transaction. They cannot simply defer to the controller. Here, refusing a potentially transformative contract merely to appease Marcus, knowing that his objection is an unrelated personal vendetta, supports an inference of abdication or bad-faith loyalty breach. Marcus's ability to appoint directors does not by itself prove their dependence, but their actual submission to his noncorporate purpose is important evidence.

The enforceability question materially affects the board's position. If the veto is invalid, unquestioning adherence to it is difficult to defend; the board should assess Velridge's offer itself. If it is valid, however, fiduciary duties do not supply a general license to disregard a binding corporate contract. See Nemec v. Shrader, 991 A.2d 1120 (Del. 2010). Directors may rationally conclude that consent cannot be obtained and that breach, specific-performance exposure or litigation would damage Avalon. Honoring

an enforceable restriction is not automatically disloyal, and the absence of a contractual fiduciary out does not automatically create one.

Even then, the board must independently assess enforceability, available relief, the costs of compliance versus challenge, and whether consent can be obtained without sacrificing corporate interests. Compliance with a valid contract should be distinguished from simply appeasing Marcus. Counsel's advice may support good-faith reliance under § 141(e), but reliance must itself be reasonable and in good faith. Statutory power to enter the January agreement likewise does not foreclose review of the directors' process and purposes when granting these unusually broad rights.

The tenfold revenue opportunity strengthens the significance of the lost opportunity, not a conclusion that acceptance was mandatory. Revenue is not profit or value. Pricing, margins, execution risk, financing, counterparty risk and alternatives remain relevant. The stipulated absence of a business reason for Marcus's veto does not eliminate the board's obligation to evaluate those matters. An independent, documented decision based on genuine corporate considerations could be protected; the stated purpose of appeasement creates substantially greater risk.

Potential claims include grossly negligent decision-making and conscious abandonment of responsibility. A plaintiff must connect the breach to an actual loss. No § 102(b)(7) exculpation clause may be assumed because the supplied charter clause is the only relevant charter provision. Even if one existed, it would not eliminate loyalty or bad-faith liability. Nomination by Marcus alone does not automatically trigger entire fairness; disinterest, independence and conduct require director-specific assessment.

3. Fiduciary implications for Marcus

Minority ownership does not preclude control

An ordinary noncontrolling stockholder generally may pursue personal interests and exercise contractual rights without fiduciary duties merely because it owns stock. A minority investor becomes a fiduciary, however, if it actually controls the corporation generally or controls the challenged decision. Kahn v. Lynch Communication Systems, Inc., 638 A.2d 1110, 1113–15 (Del. 1994), recognized control despite minority ownership; the practical ability to dominate corporate decision-making matters, not just voting percentages.

Voigt v. Metcalf, C.A. No. 2018-0828-JTL, 2020 WL 614999 (Del. Ch. Feb. 10, 2020), treats ownership, board influence and significant consent rights together in a contextual control inquiry. Basho Technologies Holdco B, LLC v. Georgetown Basho Investors, LLC, 2018 WL 3326693 (Del. Ch. July 6, 2018), likewise examines the combined exercise of contractual leverage and actual domination. Protective veto rights or commercial leverage alone do not invariably establish control; their scope and use matter.

Marcus's rights are far broader than a narrow investor-protection veto: he can appoint directors and officers and stop any corporate transaction. The board's actual rejection solely to comply and appease him is strong evidence of transaction-specific domination. Accordingly, controller allegations are plausible and substantial, although his ownership percentage, appointment mechanics, relationships with directors and actual decision process require investigation. Even if the governance clauses prove unenforceable, actual de facto domination can still establish control.

A controller's personal veto is not insulated by the contract

If Marcus is a controller, § 122(18) does not cleanse his exercise of control or eliminate fiduciary duties. Blocking a valuable corporate opportunity solely to satisfy a private grudge supplies strong evidence of bad faith and disloyalty: the stipulated motive is unrelated to Avalon's welfare and sacrifices shared

value for a personal end. This is materially different from withholding consent for a legitimate investment concern. Contractual authorization and fiduciary permissibility remain distinct.

The precise review framework depends on characterization. Kahn applied entire fairness to a conflicted controller transaction. If Marcus's intervention is treated as conflicted managerial control conferring a nonratable personal benefit, plaintiffs could seek entire-fairness review. But personal animus is not a conventional transfer of economic value, and no Velridge transaction was consummated; entire fairness should not be declared automatic.

In re Sears Hometown & Outlet Stores, Inc. Stockholder Litigation, 309 A.3d 474 (Del. Ch. 2024), distinguishes a controller's exercise of stockholder powers from managerial action. At the stockholder level, a controller must not harm the corporation or minority intentionally or through grossly negligent conduct, although it may consider its own interests. Sears applied enhanced scrutiny to affirmative stockholder-level intervention against a board's chosen course, examining legitimate objectives, good faith and reasonable means. It also recognizes that controllers need not invariably vote against their own interests or affirmatively support every advantageous transaction. Marcus's contractual refusal is not identical to Sears's director-removal and bylaw intervention; he may characterize it as merely declining consent. Nevertheless, his sweeping governance power and the board's capitulation support treating this as active control over Avalon's business, not an ordinary minority investor's passive refusal.

Under either a bad-faith loyalty analysis or the applicable conflict/enhanced-scrutiny framework, the stipulated purely personal vengeance is a serious vulnerability. The exact standard remains fact-sensitive, but Marcus cannot assume that a valid veto permits intentional injury to Avalon. If he is not a controller, primary fiduciary liability is less likely; knowing participation in an independently proven board loyalty breach could instead support aiding-and-abetting liability. That requires knowing participation, not simply knowledge that directors accepted his demand. See Malpiede v. Townson, 780 A.2d 1075, 1096 (Del. 2001).

Practical implications and potential relief

The lost corporate opportunity ordinarily injures Avalon, making damages claims principally derivative; the demand requirement is outside this memorandum's scope. Possible relief includes a declaration concerning the governance provisions, prospective injunctive relief and damages against responsible fiduciaries. Loss is not automatically ten times existing revenue: plaintiffs must establish causation, a realistically obtainable Velridge contract and provable net economic harm. Nor is Velridge obliged to keep its offer open.

Avalon should preserve communications about Marcus's motive and the board's response, obtain independent Delaware advice on the charter and agreement, and reassess the offer through genuinely independent directors. A negotiated waiver, judicial declaration or other lawful route may be preferable to either reflexive compliance or unilateral breach. Any renewed decision should document contractual constraints and corporate economics separately; revisiting the decision does not itself erase potential liability for the earlier rejection.